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VENTURE



After raising over \$3M,
popular VC-backed
beauty brand Ami Colé is
shuttering



Dominic-Madori Davis — 10:59 AM PDT · July 17, 2025

Diarra N'Diaye-Mbaye, one of the first among the small number of Black women to raise more than \$1 million in venture capital, announced on Thursday the closure of her award-winning beauty startup Ami Colé.

Ami Colé creates makeup for those with darker skin colors, as those consumers often struggle to find makeup that matches their skin tone. It launched in 2021, sold through Sephora, and became a celeb favorite among the likes of singer Kelly Rowland and actress Mindy Kaling. But the 4-year-old company will now officially shutter in September.

IMAGE CREDITS:

N'Diaye-Mbaye [wrote about her decision to close the company](#) in "The Cut," saying that "after looking at every option, it became clear that continuing in this current market wasn't sustainable." Her company had raised more than \$3 million in venture capital, according to PitchBook, with backing from the likes of G9 Ventures, Greycroft, and [angel investors Hannah Bronfman](#) and "The Cut" editor-in-chief Lindsay Peoples Wagner.

Ami Colé did not immediately respond to our request for comment.

Like many Black startups launched after the murder of George Floyd, Ami Colé rode the waves of excitement from investors and corporations looking to pour money into backing more products

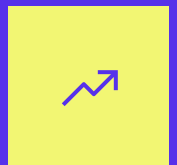
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and initiatives that touched upon diversity, equity, and inclusion.

N'Diaye-Mbaye hinted that one of the problems was tension between her and investors' expectations of a consumer retail business. While she had loyal customers, her fast nationwide growth meant pressure from investors. But her brand struggled to compete with bigger companies with deeper pockets, despite pouring a sizable chunk of its budget into marketing. Ami Colé faced the ups and downs of production versus sales in retail: one week selling straight through, and another not moving a unit.

"Instead of focusing on the healthy, sustainable future of the company and meeting the needs of our loyal fan base, I rode a temperamental wave of appraising investors — some of whom seemed to have an attitude toward equity and 'betting big on inclusivity' that changed its tune a lot, to my ears, from what it sounded like in 2020," she wrote.

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The strain comes as venture funding to [Black founders has hit a multi-year low](#) in a political climate that has [disavowed anything perceived as DEI](#). N'Diaye-Mbaye ended her announcement by saying that though this chapter in her life was ending, her work was not done.

“I still believe in beauty — at every level — and I’m looking forward to discovering what comes next,” she said.

Topics: [beauty](#) [Startups](#) [VC](#) [Venture](#)



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Index Ventures’ Jahanvi Sardana shares the truth about TAM and what

founders should focus on instead

Dominic-Madori Davis — 3:00 PM PDT · July 25, 2025

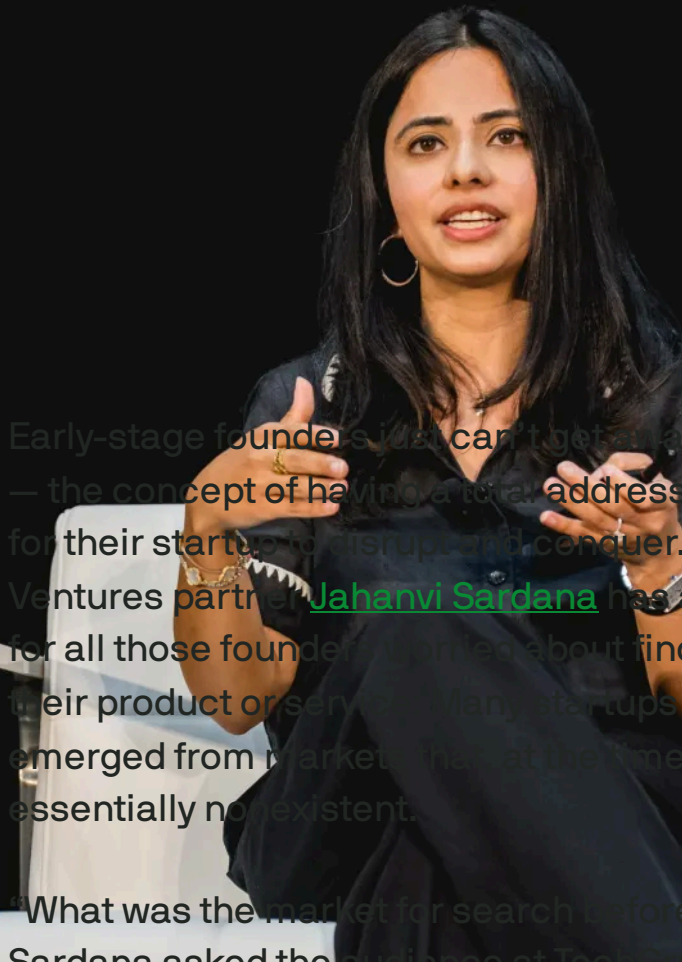


IMAGE CREDITS: TECHCRUNCH

Early-stage founders just can't get away from TAM — the concept of having a total addressable market for their startup to disrupt and conquer. But Index Ventures partner [Jahanvi Sardana](#) has a reminder for all those founders worried about finding TAM for their product or service. Many startups have emerged from markets that at the time, were essentially nonexistent.

“What was the market for search before Google?” Sardana asked the audience at TechCrunch’s 2025 All Stage event in Boston, held earlier this month. “What was the market for operating systems before Microsoft, or the market for cloud before Amazon?”

Sardana compares TAM to surfing. Every few years, there are massive waves founders must ride — first came the internet, then the mobile wave, then the cloud, and now, she said, the biggest wave of all: artificial intelligence.

“Have you shaped the right product to ride this

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“Everyone brushes their teeth,” she said. “You have to tell me why you’re building a better toothbrush.”

The emerging market is when a certain sector of the market is using a product, and there is potential for it to go mainstream.

“Think about non-alcoholic beer before it became cool,” Sardana said.

Then there is the invisible market, which Sardana calls “the biggest trap,” and “also a little bit of a dark art.”

The market doesn't exist, and a founder has to essentially create one and provide investors with evidence of how innovative they can be.

"Think about smartphones in 2006; nobody knew they wanted them and they changed the world," she said, later adding that "people don't know what they're looking for and sometimes you have to show them what's possible."

The audience at All Stage, many of whom are early-stage founders, peppered Sardana with questions, largely about what investors want to see. For instance, do investors want to see a TAM slide in a pitch deck?

"It's OK to create that slide and talk about the math behind your TAM," Sardana said, though she added that sometimes investors get annoyed when founders rely too much on industry metrics rather than having their own unique insight. Sardana also cautioned founders not to rely too much on industry reports. If a founder is too dependent on an external service to dictate how they think about the market, it can signal that they haven't thought deeply about the market they are trying to build in, she commented.

"How do you size the TAM in the marketplaces, especially big marketplaces?" one audience member asked.

"Well, that question hurts," Sardana quipped. After all, Index once passed on Airbnb, having believed its TAM was too small.

"The reality is Airbnb created a whole new inventory, which is now bigger than some of the largest hotel brands, and that led to a big change in behavior on how people travel," she said, adding that marketplace TAMs are tricky. "You want to

focus on, again, what is unlocking supply, and once you unlock the supply, how will behavior change?”

The audience also asked Sardana what makes a company stand out to an investor like herself.

A tough one, Sardana said, but a really important one. Ultimately, if a founder can understand who the customer is and why they are willing to purchase their product, then a company should have no problem standing up to investors, she added.

“We’re in the business of evaluating founders more than markets or products or anything else,” she said. “When you talk about your market, it’s really a lens on your ambition.”

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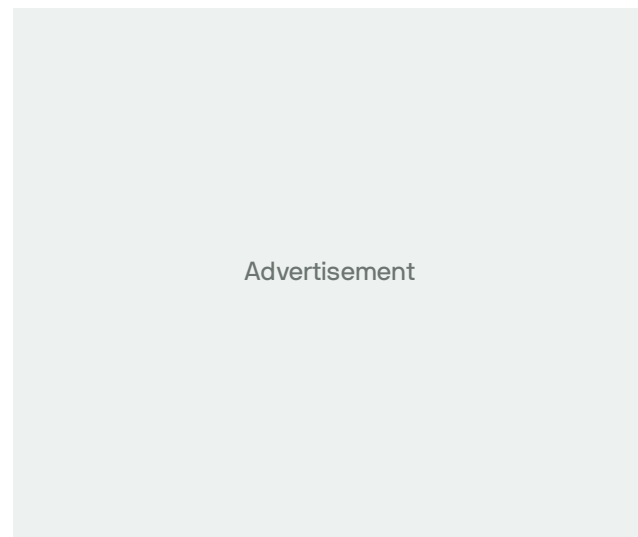
Kolkata Chai's next cup includes a taste of venture funding

Natasha Mascarenhas — 2:46 PM PDT · May 16, 2022

Co-founded by brothers [Ani](#) and [Ayan Sanyal](#), [Kolkata Chai](#) wants to be “the place to get good chai” in the United States. It’s a big market. The Sanyal brothers estimate the national tea market represents a \$12.7 billion business per year.

To chase after it, the duo tells TechCrunch that Kolkata is about to embark on a new chapter of its business: after spending years bootstrapping with revenue from their agency business, Kolkata Chai is taking on external capital for the first time.

The startup recently raised a \$1 million pre-seed round from investors including Boba Guys founders Andrew Chau and Bin Chen, 500 Startups partner Paul Singh, Sharma Brands CEO Nik Sharma, Immi Eats CEO Kevin Lee and Vice Media co-founder Suroosh Alvi alongside investor Zanab Hussain Alvi.

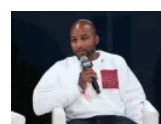


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How to actually raise a seed round: Actionable advice from top investors at TechCrunch Disrupt 2025

There are easier ways to build a business than trying to disrupt a cup of Indian masala chai. The drink is extremely personal: no two homes will serve the same cup and everyone has their own preference of ginger and cardamom proportions.

But what chai demands in technique, it also receives in love: it's a staple and shared language within Indian culture. Thus, it's not surprising that given its cultural significance, coupled with the rising popularity of chai in Western countries, a string of direct-to-consumer businesses has emerged to launch their own masala chai mixes, bottled drinks and cafes.

Kolkata's decision to take on venture can feel like a controversial choice these days, especially with community-grown businesses that users feel passionately about. Will quality struggle with venture-like incentives? Will the chai have to be watered down? Kolkata Chai started as a New York haunt, based on the Sanyal brothers trips to Kolkata each summer. It brands itself as a no-nonsense take on authenticity, so any threat to that ethos could hurt the business.

"You can bootstrap as long as you want, but there are certain limitations with that," Ani Sanyal tells TechCrunch. "After two years of navigating COVID-19, we exhausted every kind of avenue possible; but at the same time, I think we're intentional about how we raise capital."

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Indeed, the startup says it intentionally pieced together its new round of funding from high-net-worth individuals in the form of a party round rather than from a traditional venture fund or funds. The reasoning, Sanyal continues, was that they wanted “patient capital.”

Kolkata Chai didn’t go the crowdfunding route, but instead picked key executives and founders in their industry who understand the food and beverage space from whom they can learn more, including about budgeting. Ayan Sanyal added that the startup wanted to wait till the business was at a place where they felt comfortable sharing future plans and understanding what a long-term revenue mix could look like.

(Kolkata’s journey is a similar feel to that of Boba Guys, a popular tea brand that also eschewed traditional venture funding.)

Kolkata Chai hopes the money will help it graduate from a proof-of-concept business into a brand to be reckoned with. In the first nine months the startup’s DTC business it did about \$160,000 in top-line revenue, and helped it build a profitable business through a pandemic. Based on this, Kolkata thinks its future is more in the e-commerce world. It will keep its New York store and use pop-ups as a marketing vehicle.

Eventually, the brothers say, the company could expand through acquisitions and even grow through content and media that expands its initial audience. Even though the brand started by teaching people that “chai tea” was a repetitive descriptor perpetuated by Starbucks, it wants to continue to take spicier stances.

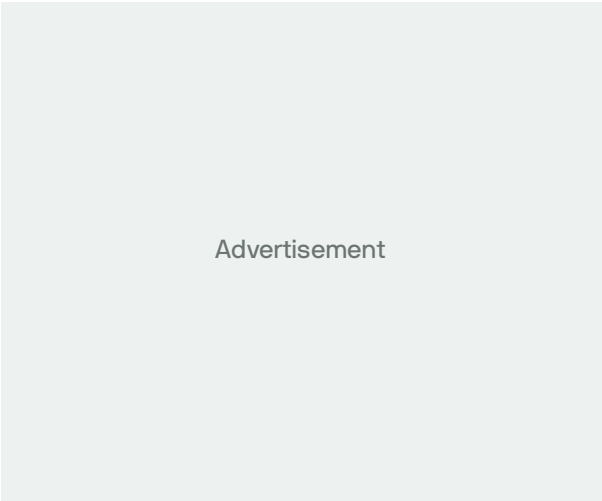
“We’ve built the premier brand for millennials and our demographic with very little resources,” Ani Sanyal says. “I think we can really span across all these different worlds, and more importantly, not just [build] products and things for South Asian people but really be a bridge between our culture and the larger Western world.”

Editor’s note: A previous version of this story incorrectly identified Zana Hussain Alvi as the co-founder of Vice Media. This is incorrect. An update has been made to reflect this change.

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